

Exhibit 2.8

Sustainable Spending Rates for Different Planning Horizons and Investment Returns

Objective: Deplete All Assets at End of Planning Horizon

		Planning Horizon (in Years)				
		10	20	30	40	50
Inflation-Adjusted Investment Return	0%	10.0%	5.0%	3.3%	2.5%	2.0%
	1%	10.5%	5.5%	3.8%	3.0%	2.5%
	2%	10.9%	6.0%	4.4%	3.6%	3.1%
	3%	11.4%	6.5%	5.0%	4.2%	3.8%
	4%	11.9%	7.1%	5.6%	4.9%	4.5%
	5%	12.3%	7.6%	6.2%	5.6%	5.2%
	6%	12.8%	8.2%	6.9%	6.3%	6.0%

While the allowance for wealth depletion characterizes the baseline assumption used in retirement income planning, Exhibit 2.9 moves us in the direction of preserving assets for indefinite use. Whereas Exhibit 2.8 allowed all assets to be depleted at the end of the planning horizon, Exhibit 2.9 includes an objective to preserve 50 percent of assets (in inflation-adjusted terms) at the end. The intuition is most basic with a 0 percent return. With the desire to keep half of the initial wealth (adjusted for inflation), sustainable spending rates are cut in half. Now 5 percent is only sustainable for ten years, and 1 percent lasts fifty years. As return assumptions increase, the degree of differences between the two exhibits gets smaller. For instance, with a 5 percent real return, the sustainable spending rate over fifty years falls from 5.2 percent to 5 percent. This small reduction to sustainable